Accounting Standard 4

Events Occurring After the Balance Sheet Date

Detailed Answers — Provision | Application | Conclusion

Question 1 (Nov 2009) — Santhanam Ltd.

> *In preparing the Financial Statements of Santhanam Ltd. for the year ended 31st March, 2009, the company invested ₹ 560 lakhs in April, 2009 in the acquisition of another company doing similar business. Negotiations for this acquisition had started during the current financial year.*

Provision: Accounting Standard 4 (AS 4) titled "Contingencies and Events Occurring After the Balance Sheet Date" deals with the treatment of significant events that occur after the balance sheet date but before the financial statements are approved by the approving authority (Board of Directors in case of a company). AS 4 divides such events into two categories. First, adjusting events — these are events that provide additional evidence about conditions that already existed on the balance sheet date. For such events, assets, liabilities, income and expenses are adjusted in the financial statements. Second, non-adjusting events — these are events that do not relate to any condition existing on the balance sheet date. For such events, no adjustment is made in the figures of the financial statements, but if the event is material, proper disclosure must be made in the report of the approving authority so that users of financial statements can understand the effect of such events on the enterprise.

Application: In the present case, Santhanam Ltd. is preparing its financial statements for the year ended 31st March, 2009. During the financial year, the company started negotiations for acquiring another company engaged in similar business. However, the actual investment and completion of acquisition took place only in April, 2009, which is clearly after the balance sheet date of 31st March, 2009. It is important to note that although negotiations had begun during the year, negotiations alone do not mean that the acquisition existed as a completed condition on the balance sheet date.

On 31st March, 2009, the acquisition had not yet taken place, no investment had been made, and the company had not yet obtained control or ownership of the other company. Therefore, the event relates to a new transaction that arose entirely after the year-end and does not provide evidence about any condition that existed on 31st March, 2009.

Conclusion: The acquisition of the other company is a non-adjusting event under AS 4. The investment of ₹ 560 lakhs will not appear in the balance sheet as on 31st March, 2009 because the transaction was completed only after the year-end. No adjustment is required in the assets, liabilities, income or expenses of the financial statements for the year ended 31st March, 2009. However, since this is a material event occurring after the balance sheet date, disclosure regarding the investment of ₹ 560 lakhs in April, 2009 for acquisition of another company should be made in the Report of the Board of Directors as required under para 15 of AS 4, so that shareholders and other users of financial statements are aware of this significant post balance sheet development.

Question 2 (June 2009) — Debtor loss due to earthquake and bankruptcy

> *While preparing final accounts for the year ended 31st March, 2009, a company made provision for bad debts @ 5% of total debtors. In the last week of February, 2009, a debtor for ₹ 2 lakhs suffered heavy loss due to earthquake. The loss was not covered by insurance. In April, 2009, the debtor became bankrupt. Can the company provide for full loss in final accounts for year ended 31.3.2009?*

Provision: As per AS 4, assets and liabilities recognised in the financial statements should be adjusted for events occurring after the balance sheet date when those events provide additional evidence to assist in the estimation of amounts relating to conditions that existed at the balance sheet date. The basic idea is simple: if a problem was already present before the year-end, and an event after the year-end only confirms how serious that problem is, then the financial statements must be corrected to show the true and fair position as on the balance sheet date. This is called an adjusting event. On the other hand, if the event after the year-end relates to an entirely new condition that did not exist on the balance sheet date, no adjustment is made. The key test is therefore whether the condition existed on the balance sheet date or not.

Application: In the given case, the company had a debtor who owed ₹ 2 lakhs as on 31st March, 2009. In the last week of February, 2009, which is before the balance sheet date, this debtor suffered heavy loss due to an earthquake. The loss was not covered by any insurance policy. This means that even before the year-end, the financial capacity of the debtor to repay the debt had already been seriously affected. The company was aware, or should have been aware, that recovery from this debtor had become doubtful even before 31st March, 2009. In April, 2009, after the balance sheet date, the debtor became bankrupt. Bankruptcy is not a new loss by itself. It is merely final confirmation that the debt has become fully irrecoverable. The real cause of loss — the debtor's inability to pay — had already started before the year-end due to the earthquake damage. The general provision of 5% on total debtors is a blanket provision and does not specifically cover the full loss on this particular debtor who was already known to be in serious difficulty.

Conclusion: Yes, the company can and should provide for the full loss of ₹ 2 lakhs in the final accounts for the year ended 31st March, 2009. This is an adjusting event under AS 4 because the bankruptcy in April, 2009 provides additional evidence about the irrecoverability of debt, the condition for which already existed on 31st March, 2009 due to the earthquake loss in February, 2009. The company should write off or provide for the entire ₹ 2 lakhs due from this debtor instead of relying only on the general 5% provision on total debtors.

Question 3 (Final Nov 2003) — Same as Question 2

> *Same facts as Question 2 with dates in year 2003 — debtor ₹ 2 lakhs, earthquake in February, 2003, bankruptcy in April, 2003, year ended 31.3.2003.*

Provision: According to AS 4, the financial statements should reflect all conditions that existed at the balance sheet date. Where an event occurring after the balance sheet date gives further proof about such an existing condition, the amounts shown in the financial statements must be adjusted accordingly. This ensures that the accounts present a true and fair view of the financial position and profit or loss of the enterprise as on the balance sheet date.

Application: In the present situation, the company made a general provision for bad debts at 5% of total debtors while preparing accounts for the year ended 31st March, 2003. However, one specific debtor owing ₹ 2 lakhs had already suffered heavy loss due to earthquake in February, 2003, which is before the balance sheet date. The loss was uninsured. This clearly indicates that the recoverability of this specific debt was in serious doubt even before 31st March, 2003. When the debtor became bankrupt in April, 2003, this event merely confirmed what was already evident — that the full amount of ₹ 2 lakhs had become irrecoverable. The condition of doubtful recovery existed on the balance sheet date itself.

Conclusion: The company should make full provision for the entire loss of ₹ 2 lakhs arising out of the insolvency of the debtor in the final accounts for the year ended 31st March, 2003. This is an adjusting event. The bankruptcy after the year-end provides additional evidence about a condition that already existed before the year-end. A general provision of 5% is not sufficient for this debtor.

Question 4 (Final May 1995) — Earthquake after year-end

> *After the close of the accounting year of XYZ Co. Ltd., there was a severe earthquake. A portion of the building and rolling mill was destroyed beyond repair. The company's resources were inadequate to fund replacement of the destroyed assets.*

Provision: AS 4 provides that adjustments to assets and liabilities are not required for events occurring after the balance sheet date if those events do not relate to conditions existing at the balance sheet date. Such events are known as non-adjusting events. However, AS 4 requires that material non-adjusting events should be disclosed in the report of the approving authority by stating the nature of the event and an estimate of its financial effect, or indicating that such an estimate cannot be made. Additionally, when the event is so severe that it may affect the company's ability to continue its operations, the going concern assumption must be carefully examined by the management and the auditor.

Application: In the given case, the earthquake occurred after the close of the accounting year. It was not present on the balance sheet date. As a result of the earthquake, a portion of the building and the rolling mill of XYZ Co. Ltd. was destroyed and the extent of damage was such that repair was not possible. This means a part of the company's productive capacity and fixed assets was lost after the year-end. Further, the company did not have adequate resources of its own to replace the destroyed assets. This creates a serious concern about whether the company will be able to continue its operations in the normal manner. Since the destruction did not exist on the balance sheet date, it cannot be treated as an adjusting event. However, because the event is material and may affect the future of the company, proper disclosure and going concern evaluation become very important.

Conclusion: The earthquake is a non-adjusting event. No adjustment should be made in the financial statements for the destruction of building and rolling mill because the damage did not exist on the balance sheet date. The auditor should first assess whether the going concern assumption is still valid in view of the destroyed assets and inadequate replacement resources. If the going concern assumption is valid, disclosure should be made in the report of the approving authority regarding the nature of the earthquake and an estimate of the financial impact, or a statement that such estimate cannot be made. If going concern is not valid, appropriate action under applicable standards must be taken.

Question 5 (Auditing May 2000) — Voluntary Retirement Scheme (VRS)

> *VV Ltd. announced VRS in January, 2000 closing on 30.6.2000. By 31.3.2000, 200 employees opted. Lump-sum ₹ 250 lakhs and future payments ₹ 1,500 lakhs. No payment or provision made up to 31.3.2000.*

Provision: As per AS 4, liabilities should be adjusted for events occurring after the balance sheet date when those events relate to conditions that existed at the balance sheet date. If an obligation has already arisen before the year-end, it represents a present liability even though the actual payment may be made later. The mere fact that payment has not yet been made does not mean that no liability exists. The financial statements must recognise all obligations that have crystallised on or before the balance sheet date.

Application: In the given case, VV Ltd. announced a Voluntary Retirement Scheme in January, 2000 and the scheme was open till 30th June, 2000. The scheme provided for an initial lump-sum payment of up to ₹ 2 lakhs per employee and monthly payments over the remaining service period. As on 31st March, 2000, as many as 200 employees had already opted for the scheme. Once employees opt for VRS, the company becomes obligated to pay them according to the terms of the scheme. The total lump-sum liability for these 200 employees was ₹ 250 lakhs and the aggregate future payments were estimated at ₹ 1,500 lakhs. Even though no payment had been made till 31st March, 2000 and no provision was created in the books, the liability had already come into existence because the employees had exercised their option before the year-end. This is not a future uncertain event — it is a present obligation based on employees' acceptance of the scheme before 31st March, 2000.

Conclusion: AS 4 applies in this case. This is an adjusting event because the obligation under the VRS scheme existed on the balance sheet date of 31st March,

2000. The company should make appropriate provision in its accounts for the year ended 31st March, 2000 towards the liability under the scheme, including the lump-sum payment of ₹ 250 lakhs and the present value of future payments of ₹ 1,500 lakhs, as per applicable accounting principles. Non-creation of provision is not correct treatment.

Question 6 — Proposed dividend recommendation

> *Accounts of ABC Ltd. for year ended 31.3.2001 approved on 19.5.2001. Directors recommended dividend @ 10% but feel it need not be disclosed since it does not reflect condition on 31.3.2001.*

Provision: As per AS 4 and the applicable legal and accounting framework, dividend proposed or declared after the balance sheet date is not recognised as a liability in the balance sheet as on the balance sheet date because no obligation to pay such dividend existed on that date. Dividend becomes a liability only when it is appropriately declared and approved as required by law. However, proposed dividend is still required to be disclosed separately in the notes to accounts. The reason is that users of financial statements must know what dividend the company intends to pay out of the profits of the year, even though it is not yet a liability. Disclosure requirement cannot be avoided merely because the proposed dividend does not represent a condition existing on the balance sheet date.

Application: In the given case, ABC Ltd. finalised its accounts for the year ended 31st March, 2001. The accounts were approved by the Board of Directors on 19th May, 2001. The Directors recommended dividend at the rate of 10%. The Directors are of the view that since no obligation to pay dividend existed on 31st March, 2001, there is no need to disclose the recommended dividend in the accounts. This reasoning is partially correct and partially incorrect. It is correct that proposed dividend is not a liability on 31st March, 2001. But it is incorrect to say that no disclosure is required. Proposed dividend is a significant item of interest to shareholders and must be shown separately in notes to accounts so that financial statements give complete information.

Conclusion: I do not agree with the Board of Directors of ABC Ltd. The recommended dividend is a non-adjusting event. It should not be recognised as a liability in the balance sheet as on 31st March, 2001. However, it must be disclosed in the notes to accounts. Complete non-disclosure is not proper and does not present a true and fair view of the affairs of the company.

Question 7 (Final Nov 2005) — Debtor bankrupt in April, 2005

> *ABC Ltd. could not recover ₹ 10 lakhs from a debtor in financial difficulty. Provision @ 20% made. Debtor became bankrupt in April, 2005. Nothing recoverable. Year ended 31.3.2005.*

Provision: AS 4 requires that where events occurring after the balance sheet date provide additional information which materially affects the determination of amounts relating to conditions existing at the balance sheet date, the financial statements must be adjusted. Trade receivables should be shown at the amount which is expected to be realised. If evidence after the year-end shows that a debtor's balance is fully irrecoverable and the financial difficulty existed before the year-end, full provision or write-off is necessary.

Application: In the given case, ABC Ltd. was unable to recover ₹ 10 lakhs from a debtor and the company was already aware that the debtor was in great financial difficulty. While finalising accounts for the year ended 31st March, 2005, the company made provision at only 20% on the amount due from this debtor, meaning it provided ₹ 2 lakhs and left ₹ 8 lakhs as recoverable. In April, 2005, after the balance sheet date, the debtor became bankrupt and nothing is recoverable from him. The bankruptcy confirms complete loss on this debt. Importantly, the debtor's financial difficulty was already known before 31st March, 2005. The company should not have treated 80% of the debt as fully recoverable when the debtor was already in great financial difficulty. The post balance sheet event of bankruptcy merely confirms the full extent of loss that was already probable on the balance sheet date.

Conclusion: The company should be advised to provide for the entire amount of ₹ 10 lakhs in the books of account for the year ended 31st March, 2005. This is an adjusting event under AS 4. The existing provision of 20% is insufficient. Full provision is required because bankruptcy provides additional evidence of complete non-recovery relating to a condition that existed on 31st March, 2005.

Question 8 — Pipeline extra cost after approval

> *Year ended 30.6.1998. Accounts approved 20.8.1998. On 1.9.1998, rocky surface found during boring — extra cost ₹ 80 lakhs estimated.*

Provision: AS 4 defines events occurring after the balance sheet date as significant events that occur between the balance sheet date and the date on which the financial statements are approved by the approving authority. Events occurring after the date of approval of financial statements do not fall within the scope of AS 4. Such events cannot be treated as adjusting or non-adjusting events under this standard because the financial statements have already been finalised and approved.

Application: In the given case, the limited company closed its accounting year on 30th June, 1998. The accounts for that period were considered and approved by the Board of Directors on 20th August, 1998. The company was engaged in laying pipeline deep beneath the earth. While doing boring work on 1st September, 1998, it encountered a rocky surface and it was estimated that there would be an extra cost of ₹ 80 lakhs. This incidence became evident only on 1st September, 1998, which is after the date of approval of accounts on 20th August, 1998. Since the financial statements had already been approved, AS 4 no longer applies to this event. It is not an event occurring after the balance sheet date for the purpose of AS 4 because the relevant period under AS 4 ended on the date of approval.

Conclusion: The extra cost of ₹ 80 lakhs is not an event covered by AS 4. No adjustment is required in the financial statements for the year ended 30th June, 1998. If the increase in cost is material and relevant for users, the company may mention this fact in the Directors' Report so that shareholders are informed about the expected increase in contract cost. Even if the contract remains profitable after considering the additional cost, disclosure in the Directors' Report would be prudent.

Question 9 — R Ltd. acquisition in April, 1998

> *R Ltd. invested ₹ 100 lakhs in April, 1998 for acquisition of another company. Negotiations started during the financial year. Year ended 31.3.1998.*

Provision: Under AS 4, events occurring after the balance sheet date that do not relate to conditions existing at the balance sheet date are classified as non-adjusting events. For such events, the amounts stated in the financial statements are not changed. However, if the event is material and represents a significant change in the financial position or commitments of the enterprise, disclosure must be made in the report of the approving authority.

Application: In the given case, while preparing financial statements of R Ltd. for the year ended 31st March, 1998, it was found that the company invested ₹ 100 lakhs in April, 1998 in the acquisition of another company engaged in similar business. Negotiations for this acquisition had started during the financial year 1997-98, but the actual investment was made only after the balance sheet date. Mere commencement of negotiations does not mean that the acquisition existed as a completed transaction on 31st March, 1998. On the balance sheet date, the company had not yet made the investment and had not completed the acquisition. Therefore, the event represents a new commitment after the year-end and not an existing condition on the balance sheet date.

Conclusion: The acquisition is a non-adjusting event. No adjustment is required in the financial statements for the year ended 31st March, 1998. However, disclosure regarding the investment of ₹ 100 lakhs in April, 1998 for acquisition of another company should be made in the report of the approving authority to enable users of financial statements to make proper evaluation of the company's financial position and future operations.

Question 10 — Cash theft detected before approval

> *Cash theft of ₹ 5 lakhs by cashier in January 20X1. Detected in May 20X1. Accounts for year ended 31.3.20X1 not yet approved.*

Provision: AS 4 (Revised) provides that events occurring after the balance sheet date may require adjustment to the reported values of assets, liabilities, expenses or incomes. In particular, where fraud or error relating to the accounting period is discovered after the balance sheet date but before the approval of financial statements, it is necessary to recognise the loss in the accounts of that accounting period itself. This is because the loss relates to the conditions existing during that period and the financial statements should not be approved without reflecting such known loss.

Application: In the given case, X Co. Ltd. had a cash theft of ₹ 5 lakhs by a cashier in January 20X1. January 20X1 falls within the accounting period ended 31st March, 20X1. Therefore, the theft occurred during the year and not after the year-end. The theft was detected in May 20X1, which is after the balance sheet date of 31st March, 20X1 but before the approval of financial statements by the Board of Directors. At the time of detection, the accounts for the year ended 31st March, 20X1 had not yet been approved. Since the fraud relates to the accounting period and has been discovered before approval, the company knows about the loss before finalising the financial statements. The cash asset shown in the books is overstated to the extent of ₹ 5 lakhs unless adjustment is made.

Conclusion: The theft should be adjusted in the accounts for the year ended 31st March, 20X1. This is an adjusting event. The loss of ₹ 5,00,000 should be recognised in the same year in which the theft occurred because it was detected before approval of financial statements and relates to conditions existing during that accounting period.

Question 11 — Earthquake destroyed warehouse

> *Earthquake on 20.5.20X2 destroyed major warehouse of ACO Ltd. Year ended 31.3.20X2. Accounts approved 30.6.20X2. Estimated loss ₹ 30 lakhs.*

Provision: AS 4 states that adjustments to assets and liabilities are not appropriate for events occurring after the balance sheet date if those events do not relate to conditions existing at the balance sheet date. However, if such an event is material, disclosure must be made in the report of the approving authority regarding the nature of the event and an estimate of its financial effect, or a statement that such estimate cannot be made. This helps users of financial statements in making informed decisions.

Application: In the given case, an earthquake destroyed a major warehouse of ACO Ltd. on 20th May, 20X2. The company's accounting year ended on 31st March, 20X2 and the accounts were approved on 30th June, 20X2. The estimated loss due to destruction of the warehouse is ₹ 30 lakhs. The earthquake occurred after the balance sheet date of 31st March, 20X2. On the balance sheet date, the warehouse existed in proper condition and there was no damage. The destruction was caused entirely by an event that happened after the year-end. Therefore, the loss does not relate to any condition existing on 31st March, 20X2. Although the event occurred before approval and is therefore an event after balance sheet date under AS 4, it is not an adjusting event because the damaging condition did not exist on the balance sheet date.

Conclusion: This is a non-adjusting event. The loss of ₹ 30 lakhs should not be recognised in the financial statements for the year 20X1-20X2. No adjustment to assets or profit and loss account is required for the year ended 31st March, 20X2. However, the earthquake and the estimated loss of ₹ 30 lakhs must be disclosed in the Board's Report so that users of financial statements can evaluate the effect of this material event on the future operations and financial position of the company.

Question 12 — Legal suit, recovery not probable

> *Legal suit filed against debtor for ₹ 15 lakhs as on 31.3.20X1. Legal opinion in April, 20X1 — chances of recovery not good.*

Provision: As per AS 4, assets and liabilities should be adjusted for events occurring after the balance sheet date that provide additional evidence to assist the estimation of amounts relating to conditions existing at the balance sheet date. Trade receivables must be shown at realisable value. Where evidence available before approval of accounts shows that recovery is doubtful from a debtor whose balance existed on the balance sheet date, appropriate provision for doubtful debts must be made.

Application: In the given case, the company had filed a legal suit against a debtor from whom ₹ 15 lakhs was recoverable as on 31st March, 20X1. This means the debt existed on the balance sheet date. In April, 20X1, before finalisation of financial statements, the company obtained legal opinion from its counsel stating that chances of recovery by way of legal suit are not good. Although the final result of the legal proceedings will be known only in future, the legal opinion received in April, 20X1 provides additional evidence about the recoverability of a debt that already existed on 31st March, 20X1. The situation of non-recovery from the debtor is not a new event — it is confirmation of doubt about an existing receivable. The company cannot continue to show the full ₹ 15 lakhs as recoverable when reliable evidence indicates that recovery is unlikely.

Conclusion: The company should make full provision for doubtful debts amounting to ₹ 15 lakhs in the accounts for the year ended 31st March, 20X1. This is an adjusting event. The legal opinion received after the balance sheet date provides additional evidence about a condition existing at the balance sheet date, namely doubtful recovery from the debtor.

Question 13 — R Ltd. acquisition in April, 20X1

> *R Ltd. invested ₹ 100 lakhs in April, 20X1 before Board approval for acquisition. Negotiations started during the year. Year ended 31.3.20X1.*

Provision: AS 4 (Revised) defines events occurring after the balance sheet date as significant events, both favourable and unfavourable, that occur between the balance sheet date and the date on which financial statements are approved by the approving authority. No adjustment to assets and liabilities is required when the event does not affect the determination of amounts relating to conditions existing at the balance sheet date. However, disclosure is required in the report of the approving authority for material events that represent significant changes or commitments affecting the financial position of the enterprise.

Application: In the given case, R Ltd. invested ₹ 100 lakhs in April, 20X1 in the acquisition of another company doing similar business. Negotiations for this acquisition had started during the financial year ended 31st March, 20X1, but the actual investment was made after the balance sheet date and before approval of financial statements by the Board of Directors. On 31st March, 20X1, the acquisition had not been completed and the investment had not been made. Negotiations alone do not create an obligation or asset on the balance sheet date. The actual outflow and acquisition commitment in substance materialised only after the year-end. Hence, the event does not relate to any condition existing on 31st March, 20X1.

Conclusion: The acquisition is a non-adjusting event. No adjustment to assets and liabilities is required in the financial statements for the year ended 31st March, 20X1. However, disclosure of the investment of ₹ 100 lakhs in April, 20X1 for acquisition of another company should be made in the report of the approving authority so that users of financial statements are properly informed about this material post balance sheet commitment.

Question 14 — Pipeline cost after approval (20X1)

> *Year ended 30.6.20X1. Accounts approved 20.8.20X1. Extra cost ₹ 80 lakhs on 1.9.20X1 due to rocky surface during boring.*

Provision: AS 4 applies only to events occurring after the balance sheet date and on or before the date of approval of financial statements. Once financial statements are approved, events occurring thereafter are outside the scope of AS 4. Such events cannot require adjustment or disclosure under AS 4 in the already approved financial statements.

Application: In the given case, the limited company closed its accounting year on 30th June, 20X1 and the accounts were approved by the Board on 20th August, 20X1. While doing boring work for laying pipeline on 1st September, 20X1, the company met a rocky surface and estimated that there would be an extra cost of ₹ 80 lakhs. This incidence became evident after the approval of accounts. Since approval was already given on 20th August, 20X1, the event on 1st September, 20X1 does not fall in the period prescribed by AS 4. It is therefore not an event occurring after the balance sheet date for the purposes of this standard.

Conclusion: The event is not covered by AS 4. No adjustment is required in the financial statements for the year ended 30th June, 20X1. If the additional cost is material, the company may disclose the fact of increase in contract cost in the Directors' Report for the information of stakeholders, but not as an AS 4 adjustment or non-adjusting disclosure in approved financial statements.

Question 15 — Earthquake before year-end, bankruptcy after

> *Provision for bad debts @ 5%. Debtor ₹ 2 lakhs suffered earthquake loss in February, 20X1. Became bankrupt in April, 20X1. Year ended 31.3.20X1.*

Provision: As per AS 4, assets and liabilities should be adjusted for events occurring after the balance sheet date that provide additional evidence to assist estimation of amounts relating to conditions existing at the balance sheet date. The standard makes a clear distinction between events confirming existing conditions and events representing new conditions arising after the year-end.

Application: In the given case, while preparing final accounts for the year ended 31st March, 20X1, the company made provision for bad debts at 5% of total trade receivables. However, one trade receivable of ₹ 2 lakhs had suffered heavy loss due to earthquake in the last week of February, 20X1, which is before the balance sheet date. The loss was not covered by insurance. This means the debtor's ability to repay was already severely affected before 31st March, 20X1. In April, 20X1, the debtor became bankrupt. Bankruptcy confirms that the entire ₹ 2 lakhs has become irrecoverable. The general provision of 5% on all receivables cannot be considered sufficient when this particular debtor's loss was already known before the year-end. If the earthquake had occurred after 31st March, 20X1, the situation would have been different and only disclosure would have been required.

Conclusion: The company should make full provision for bad debts amounting to ₹ 2 lakhs in the final accounts for the year ended 31st March, 20X1. This is an adjusting event because the earthquake occurred before the balance sheet date and bankruptcy after the year-end merely confirms the full loss. If the earthquake had taken place after 31st March, 20X1, it would have been a non-adjusting event and only disclosure under AS 4 would have been sufficient.

Question 16 — Raj Ltd. trademark suit

> *Raj Ltd. sued for ₹ 15 lakhs for trademark infringement. Provision ₹ 10 lakhs made. Court ordered ₹ 14 lakhs on 18.5.20X2. FS prepared 30.4.20X2, approved 30.5.20X2.*

Provision: AS 4 (Revised) requires adjustment of assets and liabilities for events occurring after the balance sheet date that provide additional information materially affecting the determination of amounts relating to conditions existing at the balance sheet date. Where a provision has already been made for a known obligation and subsequent evidence before approval of accounts shows a different amount is required, the provision must be revised accordingly.

Application: In the given case, during the year 20X1-20X2, Raj Ltd. was sued by a competitor for ₹ 15 lakhs for infringement of trademark. Based on legal advice, the company provided ₹ 10 lakhs in its financial statements for the year ended 31st March, 20X2. On 18th May, 20X2, the Court decided against Raj Ltd. and ordered it to pay ₹ 14 lakhs to the aggrieved party. The financial statements were prepared by management on 30th April, 20X2 and approved by the Board on 30th May, 20X2. The court decision on 18th May, 20X2 falls between the balance sheet date and the date of approval. The suit itself existed during the year and was a condition present before the year-end. The court decision does not create a new liability from scratch — it confirms and quantifies the liability in respect of a suit that was already pending. Since the court ordered ₹ 14 lakhs against the provision of ₹ 10 lakhs already made, an additional ₹ 4 lakhs is required to reflect the correct liability.

Conclusion: This is an adjusting event. Raj Ltd. should adjust the provision upward by ₹ 4 lakhs so that the total provision becomes ₹ 14 lakhs in the financial statements for the year ended 31st March, 20X2. If the judgment had been delivered on 1st June, 20X2 after approval on 30th May, 20X2, it would not be covered by AS 4 and no adjustment would be required in the approved financial statements.

Question 17 — Alpha Ltd. (Approved 15.7.20X2)

(i) Suit filed on 20.4.20X2 claiming ₹ 25 lakhs

Provision: AS 4 requires adjustment only for events relating to conditions existing at the balance sheet date. Contingencies dealt with under AS 4 are restricted to conditions that existed on the balance sheet date. A claim that arises for the first time after the year-end does not relate to any existing condition.

Application: The financial statements of Alpha Ltd. for the year 20X1-20X2 were approved on 15th July, 20X2. A suit against the company's advertisement was filed by a party on 20th April, 20X2 claiming damages of ₹ 25 lakhs. This suit was filed after the balance sheet date of 31st March, 20X2. On the balance sheet date, no such claim existed against the company in respect of this advertisement. The filing of suit on 20th April, 20X2 is a new development and not confirmation of an old liability.

Conclusion: This is a non-adjusting event. It is not a contingency under AS 4 because the condition did not exist at the balance sheet date. No adjustment is required in the financial statements for the year ended 31st March, 20X2. Disclosure should be made in the report of the approving authority if the event is material.

(ii) Acquisition terms decided in March, 20X2; ₹ 50 lakhs invested in April, 20X2

Provision: Where terms and conditions of a transaction have been finalised before the balance sheet date, subsequent arrangement of funds and investment after the year-end but before approval constitutes an adjusting event because the commitment already existed at the year-end.

Application: In the given case, terms and conditions for acquisition of business of another company had been decided by March, 20X2, which is before the balance sheet date of 31st March, 20X2. However, financial resources were arranged in April, 20X2 and the amount invested was ₹ 50 lakhs. Although actual payment was made after the year-end, the decision to acquire and the agreed terms were already finalised before 31st March, 20X2. Therefore, the acquisition was not a sudden post year-end event but completion of an already decided transaction.

Conclusion: This is an adjusting event. The acquisition should be reflected in the financial statements for the year ended 31st March, 20X2 because the terms and commitment existed on the balance sheet date and the payment in April, 20X2 is merely fulfilment of that existing commitment.

(iii) Theft on 31.3.20X2; detected on 16.7.20X2

Provision: AS 4 applies only to events occurring after the balance sheet date and before the date of approval of financial statements. Events detected after approval are outside the scope of AS 4.

Application: Theft of cash of ₹ 5 lakhs took place on 31st March, 20X2, which is on the balance sheet date itself and therefore relates to the accounting period. However, the theft was detected on 16th July, 20X2, whereas the financial statements were approved on 15th July, 20X2. Detection took place one day after approval. Since AS 4 requires knowledge and treatment before approval, and the accounts were already approved without this adjustment, AS 4 cannot be applied to revise those approved statements.

Conclusion: This event is not covered by AS 4 for the financial statements already approved on 15th July, 20X2. No adjustment can be made in those approved accounts. The loss will be accounted for in the next accounting period.

Question 18 (July 21 & RTP May 2024) — Surya Limited

(i) Suit filed on 5.4.2021 claiming ₹ 5 lakhs

Provision: Under AS 4, the classification depends on whether the condition existed on the balance sheet date of 31st March, 2021. Events that create entirely new liabilities after the year-end are non-adjusting events.

Application: Surya Limited follows financial year from April to March. A suit against the company's advertisement was filed by a party on 5th April, 2021 claiming damages of ₹ 5 lakhs. This date is after the balance sheet date of 31st March, 2021. On 31st March, 2021, no such legal claim existed against the company in respect of this advertisement. The suit is therefore a fresh claim arising after the year-end.

Conclusion: This is a non-adjusting event. It is not a contingency under AS 4. No adjustment is required in the financial statements for the year ended 31st March, 2021. Disclosure should be made if the event is material.

(ii) Property sale proposal in March, 2021; deed registered 15.4.2021

Provision: Non-adjusting events under AS 4 are those that do not relate to conditions existing at the balance sheet date. Mere proposal or intention to sell without binding completion on the balance sheet date generally does not require adjustment.

Application: The company sent a proposal to sell an immovable property in March, 2021. The book value of the property was ₹ 30 lakhs as on year-end and the proposed sale price was ₹ 45 lakhs. However, the deed was registered only on 15th April, 2021. A proposal alone does not mean that the sale was completed or binding on 31st March, 2021. The legal completion of sale through registration happened after the year-end. On the balance sheet date, the property still belonged to the company and the sale was not final.

Conclusion: This is a non-adjusting event. No adjustment is required in the financial statements as on 31st March, 2021. The property should continue to be shown at book value on that date. Disclosure regarding the subsequent sale may be made in the Board's Report.

(iii) Acquisition terms decided by March, 2021; ₹ 50 lakhs invested in April, 2021

Provision: When terms and conditions of acquisition are finalised before the balance sheet date, the subsequent investment before approval of accounts is treated as an adjusting event because the commitment existed at the year-end.

Application: The terms and conditions for acquisition of business of another company were decided by the end of March, 2021, which is on or before the balance sheet date. Financial resources were arranged in April, 2021 and ₹ 50 lakhs was invested. The decision to acquire was already taken before 31st March, 2021. The April investment is therefore not a new decision but execution of an already finalised transaction.

Conclusion: This is an adjusting event. It should be reflected in the financial statements for the year ended 31st March, 2021 because the commitment existed on the balance sheet date.

(iv) Theft in March, 2021 detected after approval

Provision: AS 4 applies only between the balance sheet date and the date of approval of financial statements. Events discovered after approval cannot be adjusted under AS 4 in the approved statements.

Application: Theft of cash amounting to ₹ 4 lakhs was done by the cashier in March, 2021 during the accounting period. However, it was detected on the next day after the financial statements had already been approved by the Directors. Since approval had already taken place, the company cannot revise the approved financial statements under AS 4 for this theft even though the theft occurred during the year.

Conclusion: This is not covered by AS 4 in the approved financial statements. No adjustment is possible after approval. The loss will be accounted for in the subsequent accounting period.

Question 19 — Sale of building, legal formalities pending

> *A Ltd. sold building for ₹ 50 lakhs to B Ltd. and gave possession. Book value ₹ 30 lakhs. Legal formalities pending on 31.3.20X1. Amount shown as advance.*

Provision: Accounting must give greater importance to economic substance over legal form. If the substance of a transaction shows that sale is complete and risks and rewards of ownership have substantially transferred to the buyer, the transaction should be recorded as a sale even though some legal formalities remain pending. Showing sale proceeds merely as advance when possession has been transferred does not reflect the true commercial reality.

Application: In the given case, A Ltd. sold its building to B Ltd. for ₹ 50 lakhs and also gave possession to B Ltd. The book value of the building was ₹ 30 lakhs. As on 31st March, 20X1, documentation and legal formalities were pending. Despite this, the company did not record the sale and showed the amount received as advance from customer. Giving possession is strong evidence that beneficial interest and control over the building have passed to the buyer. The economic reality is that the sale has taken place. The building should no longer be treated as an asset of A Ltd. and the profit on sale should be recognised. Showing the amount as advance understates profit and overstates assets.

Conclusion: I do not agree with the treatment adopted by A Ltd. The company should recognise the sale in its accounts for the year ended 31st March, 20X1, derecognize the building from fixed assets, and recognise profit of ₹ 20 lakhs (₹ 50 lakhs − ₹ 30 lakhs). The treatment as advance is not correct because substance of the transaction is sale and not advance against future transfer.

Question 20 (CA Inter Dec 2021) — Year ended 31.3.2021; Approved 10.7.2021

(i) Equity dividend @ 7% declared on 15.5.2021

Provision: As per AS 4, dividend proposed or declared after the balance sheet date is not a liability on the balance sheet date because no obligation to pay dividend existed on that date. However, such dividend requires disclosure in notes to accounts.

Application: Equity dividend at 7% was declared on 15th May, 2021 for the financial year 2020-21. The year ended on 31st March, 2021 and accounts were approved on 10th July, 2021. On 31st March, 2021, the company had not yet declared any dividend and therefore no liability existed. Declaration on 15th May, 2021 is after the balance sheet date but before approval, making it an event after balance sheet date. However, it does not relate to a liability existing on the balance sheet date.

Conclusion: This is a non-adjusting event. No liability should be recognised in the balance sheet as on 31st March, 2021. The proposed dividend should be disclosed separately in the notes to accounts.

(ii) Cash fraud ₹ 53,000 — collected 5.3.2021, detected 22.6.2021

Provision: AS 4 requires adjustment for events occurring after the balance sheet date that relate to conditions existing at the balance sheet date, including fraud or misappropriation committed during the accounting period but discovered before approval of financial statements.

Application: An amount of ₹ 53,000 was collected from a customer on 5th March, 2021 but was not deposited by the cashier. This happened during the year ended 31st March, 2021. The fraud was detected on 22nd June, 2021, which is after the balance sheet date but before approval of accounts on 10th July, 2021. The cash asset in the books is overstated because money collected on behalf of the company was misappropriated during the year. Since the fraud relates to the accounting period and is known before approval, it must be corrected in the same year's accounts.

Conclusion: This is an adjusting event. The loss of ₹ 53,000 should be adjusted and recognised in the accounts for the year ended 31st March, 2021.

(iii) Fire on 23.5.2021 — loss ₹ 81 lakhs

Provision: AS 4 does not require adjustment for events after the balance sheet date that do not relate to conditions existing at that date. Material non-adjusting events must be disclosed in the report of the approving authority.

Application: A building of the company was damaged by fire on 23rd May, 2021. The estimated loss is ₹ 81 lakhs. The financial year ended on 31st March, 2021 and accounts were approved on 10th July, 2021. The fire occurred after the year-end. On 31st March, 2021, the building was undamaged and no fire-related loss existed. Although the fire took place before approval, it relates to a new event after the year-end and not to any condition existing on the balance sheet date.

Conclusion: This is a non-adjusting event. No adjustment is required in the accounts for the year ended 31st March, 2021. The nature of the event and estimated loss of ₹ 81 lakhs should be disclosed in the report of the approving authority.

Question 21 (CA Inter Nov 2022) — MN Limited (Approved 15.6.2022)

(i) Fire on 7.4.2022 — loss ₹ 15 crores (fully insured)

Provision: AS 4 treats events not relating to conditions at the balance sheet date as non-adjusting events. Material events require disclosure. Where the event is significant, going concern assumption must also be evaluated even if insurance cover is expected.

Application: On 7th April, 2022, a fire destroyed a manufacturing plant of MN Limited. The estimated loss is ₹ 15 crores. The financial year ended on 31st March, 2022 and accounts were approved on 15th June, 2022. The fire occurred after the balance sheet date. On 31st March, 2022, the plant was existing and no fire loss had occurred. The loss is expected to be fully covered by insurance. Even though insurance may reimburse the loss, the fire itself is a material post balance sheet event that users must know about. Going concern must also be reviewed because destruction of a manufacturing plant is a significant event.

Conclusion: This is a non-adjusting event. No adjustment for the loss is required in the financial statements for the year ended 31st March, 2022 because the fire did not exist on the balance sheet date and insurance recovery is expected. The event should be disclosed by way of note in the financial statements. Going concern assumption should be assessed. If valid, the company may continue to be presented as a going concern.

(ii) Patent breach claim ₹ 12 crores received before year-end

Provision: Contingent liabilities and provisions are governed by AS 29. A provision is recognised only when there is a present obligation as a result of past event, outflow of resources is probable, and amount can be reliably estimated. If outflow is not probable, no provision is made but contingent liability may require disclosure.

Application: A claim of ₹ 12 crores for patent breach was received before the year-end 31st March, 2022. Management and legal counsel of MN Limited believe that the claim is baseless and is likely to fail. However, significant legal fees will be incurred in defending the case. Since reliable evidence suggests that the company will not have to pay the claim amount, provision for ₹ 12 crores is not warranted. But the existence of the claim is a present uncertainty that users should know about. Legal fees expected to be incurred may qualify for provision if measurable.

Conclusion: No provision for ₹ 12 crores is required because payment is not probable. The claim should be disclosed as a contingent liability under AS 29 with full details of facts. Provision for expected legal fees may be made to the extent the amount can be reliably estimated and is not expected to be recovered.

(iii) Property sale — contract exchanged 15.3.2022; finalized 15.5.2022

Provision: As per AS 4, where a binding contract or agreement for sale exists before the balance sheet date, completion of sale after the year-end but before approval of accounts is an adjusting event because the sale was already agreed before the year-end.

Application: The property had a book value of ₹ 37,50,000. Contract for sale was exchanged on 15th March, 2022, which is before the balance sheet date of 31st March, 2022. The sale was finalized on 15th May, 2022 for ₹ 39,75,000. Accounts were approved on 15th June, 2022. Exchange of contract before year-end shows that the sale was substantially agreed before 31st March, 2022. Finalization in May, 2022 is merely completion of an already agreed transaction. Profit on sale is ₹ 2,25,000 being ₹ 39,75,000 minus ₹ 37,50,000.

Conclusion: This is an adjusting event. The sale should be recognised in the financial statements for the year ended 31st March, 2022. Profit on sale of property amounting to ₹ 2,25,000 should be recorded in those accounts.

Quick Revision — Important Points

1. Adjusting Event: Condition already existed on balance sheet date and event after year-end only gives additional evidence → Adjust assets, liabilities, income or expenses in the same year's accounts.

2. Non-adjusting Event: Condition did not exist on balance sheet date → No change in account balances; disclose in Board's Report or Notes if material.

3. After Approval: Event detected or occurring after approval of financial statements → Not covered by AS 4; treat in next year.

4. Proposed Dividend: Not a liability on balance sheet date → Disclose in Notes to Accounts only.

5. Fraud/Theft during year detected before approval: Adjusting event → Recognise loss in same year.

6. Terms finalised before year-end, payment after year-end: Adjusting event → Reflect in accounts of that year.